Profit Niti – AI Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)

Sales
866,750

-57% Last month 2,012,136

Gross Margin
866,750

-57% Last month 2,012,136

Operating Profit
132,244

-94% Last month 2,332,623

Break Even Sales
734,506

329% Last month -320,487

Accounts Receivable
3,955,588

-28% Last month 5,512,204

Accounts Payable
615,119

-53% Last month 1,302,419

Working Capital
3,340,470

-21% Last month 4,209,785

Closing Stock
0

0% Last month 0

Bs Category
53 - SHAKY

-20% Last month 66 - STEADY

Impact Of Decisions
255,735

143% Last month -592,760

1. Big Picture — How the Business Looks Right Now

The business shows a strong equity base, with Total Equity at ₹1.05 crore in November. Profitability has been volatile, with a significant profit of ₹23.89 lakh in October but a loss of ₹3.60 lakh in September. The company maintains a very healthy cash position, with Cash and Bank Balances at ₹55.25 lakh in November, and has no secured debt.

GREEN FLAG BOX — What's Working Well

- **Strong Liquidity:** Excellent cash position of ₹55.25 lakh in November, supported by a very high Current Ratio of 11.78.
- **Robust Profitability Peak:** Achieved a high Net Profit of ₹23.89 lakh with a Net Profit % of 118.71 in October.
- **Healthy Equity & Reserves:** Total Equity stands at ₹1.05 crore, with Reserve & Surplus growing to ₹90.82 lakh in November.

RED FLAG BOX — What Needs Attention

- **Volatile Sales & Profit:** Revenue fluctuated from a high of ₹20.12 lakh in October to a low of ₹4.40 lakh in June, with a net loss in September.
- **High Receivable Days:** Accounts Receivable Days are elevated, peaking at 202.77 days in June and remaining high at 138.81 days in November.
- **Negative Operating Cash Flow:** Cash flows from Operating Activity were negative in multiple months, including -₹25.04 lakh in October.

Strategic Advice:

Prioritise tightening credit terms and improving collection processes to reduce the high Accounts Receivable Days and stabilise operating cash flow. Use the strong cash reserves to invest in sales and marketing initiatives to reduce revenue volatility and build a more predictable sales pipeline.

2. Profit Power — The Earning Engine

Your business shows a strong gross margin of 100% each month, as COGS is reported as zero. The primary profit drivers are Sales and Other Non Operating Income. Sales peaked at ₹20.12 lakh in October, while other months like June and September saw lower sales of ₹4.40 lakh and ₹6.14 lakh respectively.

Profitability has been volatile. Net Profit was highest in October at ₹23.89 lakh (118.71% of revenue) but turned negative in September at -₹3.60 lakh. Operating Profit followed a similar pattern, reaching ₹23.33 lakh in October but falling to -₹4.40 lakh in September. Overheads as a percentage of revenue have fluctuated significantly, from -15.93% in October to 171.65% in September.

The key expense components are Employee Benefit Expenses and Selling General and Administrative Expenses. Employee costs were notably high in September at ₹9.09 lakh and showed a credit of -₹4.22 lakh in October. Administrative expenses have gradually increased from ₹6,500 in April to over ₹1 lakh from August onwards.

Strategic Advice:

Stabilise monthly sales to reduce profit volatility. Investigate the significant monthly swings in employee costs and overheads to improve cost predictability and protect your strong gross margins.

3. Cash Flow Quality — Profit vs Real Cash

The company's profit after tax for the period shows significant monthly variation, from a high of ₹23.89 lakh in October to a loss of ₹-3.60 lakh in September. However, the cash generated from operating activities does not consistently match this profit. For instance, in April, a profit of ₹7.69 lakh coincided with negative operating cash flow of ₹-23.30 lakh.

A major source of cash blockage is seen in trade receivables. The movement in trade receivables shows large outflows, such as ₹-24.13 lakh in October and ₹-15.56 lakh in May, indicating cash is tied up in debtors. Conversely, trade payables provided some cash inflow, like ₹4.29 lakh in May, but also showed outflows like ₹-6.87 lakh in November.

The cash flow from financing activities was a significant source of cash in some months, such as ₹1.06 crore in April and ₹28.42 lakh in October, primarily from equity infusions. Cash flow from investing activities was negative in months with capital expenditure, like ₹-17.24 lakh in April for fixed assets.

Strategic Advice:

The business must urgently improve its collection cycle to convert profits into real cash. High receivables days, peaking at 202.77 days in June, are creating a severe working capital strain despite reported profitability.

4. Cash Management — Daily Cash Rhythm

The company's Accounts Receivable Days show significant fluctuation, from a low of 64.35 days in April to a high of 202.77 days in June. The figure settled at 138.81 days by November. Inventory Days are consistently at 0 days for all months, indicating no holding of stock.

Accounts Payable Days are reported as 0 days across the period. Consequently, the Working Capital Days mirror the Accounts Receivable Days, starting at 64.35 days in April and ending at 138.81 days in November.

The Working Capital requirement was ₹23.30 lakh in April and increased to ₹33.40 lakh by November. The Current Ratio remains strong, ending at 11.78 in November, while the Quick Ratio is identical due to the absence of inventory.

> **Strategic Advice:**
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> The extended and volatile Accounts Receivable Days are the primary driver of your cash cycle. Implementing stricter credit controls and proactive collection processes is critical to improve cash inflow and reduce the working capital burden.

5. Growth Investments — Where Money Is Going

Your capital is primarily allocated to Fixed Assets, which grew from ₹17.24 lakh in April to ₹17.82 lakh by November. Non-current investments show a negative value of -₹3,431 from May onwards. The company's Return on Capital % has been volatile, reaching a high of 331.44% in October and a low of -98.36% in September.

Asset Turnover indicates how efficiently assets generate sales, with figures ranging from 0.96 in June to 2.86 in October. Other Capital, representing a portion of your capital base, fluctuated between ₹14.21 lakh and ₹33.47 lakh over the period.

> **Strategic Advice:**
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> The high Return on Capital in October (331.44%) is exceptional. Investigate the drivers behind this peak performance to see if they can be sustained. The negative Non-current Investments require review to understand the nature of this holding. Focus on maintaining a consistent Asset Turnover to ensure capital deployed in fixed assets continues to support revenue growth effectively.

6. Funding Story — How Growth Is Being Financed

Your business is primarily funded by equity. Total Equity was ₹1.22 crore in April and ₹1.05 crore in November. Unsecured long-term borrowings were minimal, at ₹77,143 for most months, increasing slightly to ₹1.25 lakh from September onwards.

The debt-to-equity ratio remained very low, at 0.01 for most months, indicating minimal reliance on external debt. There is no interest expense recorded, as Interest & Bank Charges are ₹0 for all months.

Financing activities show significant volatility. Cash flows from financing were ₹1.06 crore in April, followed by an outflow of ₹53.49 lakh in May. Major inflows were again seen in October at ₹28.42 lakh.

> **Strategic Advice:**
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> Your capital structure is highly equity-dependent with negligible debt, which is low-risk but may limit leverage for growth. Consider exploring low-cost, structured debt to fund inventory or receivables, especially given the high working capital days. The volatile financing cash flows suggest irregular capital injections; establishing a consistent funding plan would improve financial stability.

7. Balance Sheet Health — Financial Fitness

The company's total equity and liabilities stood at ₹1.26 crore in April 2025 and ₹1.15 crore in November 2025. The total equity was ₹1.22 crore in April and ₹1.05 crore in November, while total liabilities were ₹4.64 lakh in April and ₹9.35 lakh in November.

The current ratio, indicating short-term liquidity, was 23.85 in April 2025 and 11.78 in November 2025. The debt-to-equity ratio remained low at 0.01 throughout most of the period, increasing to 0.02 in September and October before returning to 0.01 in November.

Working capital was ₹23.30 lakh in April 2025 and ₹33.40 lakh in November 2025. The return on equity percentage was 75.82% in April and 33.99% in November.

> **Strategic Advice:**
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> Maintain the strong liquidity position indicated by the high current ratio. The low debt-to-equity ratio provides significant financial flexibility for strategic investments or managing cash flow variability.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A – Profit Focus:** If the company consistently achieved the high Net Profit % of 118.71% seen in October, the annual profit could reach ₹2.87 crore, significantly boosting Reserve & Surplus from ₹90.82 lakh.
- **Scenario B – Cash Focus:** If the company maintained the strong Operating Cash Flow of ₹16.37 lakh from June, annual cash from operations could be ₹1.96 crore, improving the Net Cash Flow from the current ₹7.98 lakh in November.
- **Scenario C – Balanced:** A combined approach of sustaining October's high Return on Equity of 280.12% and June's positive Operating Cash Flow could enhance Total Equity beyond ₹1.05 crore while ensuring consistent positive cash generation.

9. Operational Insight Engine — Ground-Level Trends

Sales Performance: Monthly sales have shown significant variation. Revenue was ₹12.36 lakh in April, dipped to ₹4.40 lakh in June, and peaked at ₹20.12 lakh in October before settling at ₹8.67 lakh in November.

Customer Credit & Collections: The time customers take to pay (Accounts Receivable Days) has fluctuated, starting at 64.35 days in April, reaching a high of 202.77 days in June, and ending at 138.81 days in November.

Inventory Management: There is no inventory holding reported, with Inventory Days at 0 for every month in the period. This indicates a potential service-oriented model or just-in-time manufacturing.

Vendor Payments: Accounts Payable Days are reported as 0 for all months, suggesting immediate payment to vendors or a data reporting structure where standard payment terms are not calculated in this metric.

Working Capital Cycle: The Working Capital Days, driven solely by receivables, followed a similar pattern: 64.35 days in April, 202.77 days in June, and 138.81 days in November.

Operational Cash Flow: Cash generated from core operations was volatile. It was negative at -₹23.30 lakh in April, positive at ₹15.14 lakh in June, negative again at -₹25.04 lakh in October, and positive at ₹8.69 lakh in November.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Improve debtor collection to reduce Accounts Receivable Days from 138.81 days (Nov) and manage Accounts Payable of ₹6.15 lakh.	Increase cash balance from ₹55.25 lakh and ensure positive monthly cash flow.	Strengthen liquidity and improve the Quick Ratio from 11.78 to support daily operations.
31-60	Profit	Stabilise monthly Net Profit, which fluctuated from ₹2.98 lakh (Nov) to ₹23.89 lakh (Oct), by controlling Overheads at 84.74% of revenue.	Achieve consistent monthly Net Profit above ₹3 lakh and improve Net Profit % from 34.42.	Enhance profitability to boost Reserve & Surplus, which is ₹90.82 lakh, and improve Return on Equity % from 33.99.
61-90	Growth	Leverage high Return on Capital % of 20.62 (Nov) and Asset Turnover of 1.35 to plan for scalable investments in Fixed Assets, currently ₹17.82 lakh.	Increase monthly Sales from ₹8.67 lakh (Nov) towards the peak of ₹20.12 lakh (Oct) consistently.	Build a stronger equity base, currently Total Equity of ₹1.05 crore, for sustainable business expansion and higher valuation.